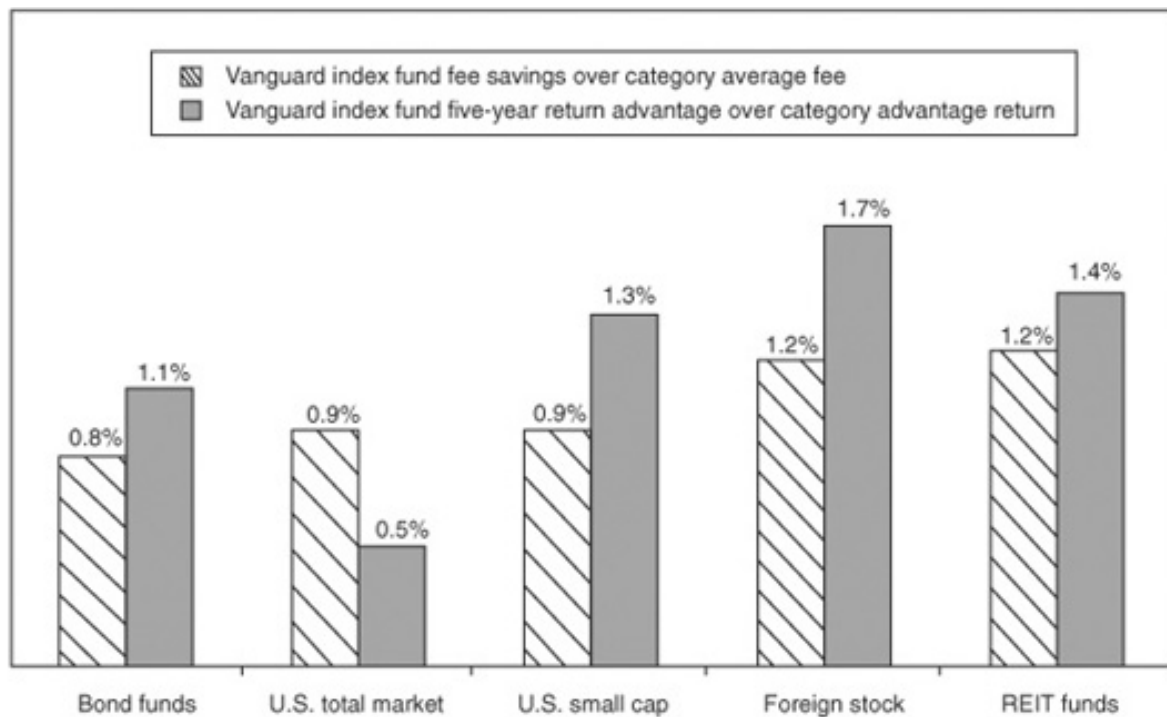




Source: Morningstar Principia, January 2010

It is clear to even the most casual observer that low-cost stock and bond index funds have a significant advantage over other funds that charge average fees. Virtually every study of mutual fund performance done by every pure academic has come to the same conclusion: Mutual fund fees not only matter but they matter a lot. Don't pay high fees or sales loads when investing your portfolio.

About 6 percent of all mutual funds reported expenses below 0.5 percent per year. These are the funds you should be selecting from. There are several low-cost, no-load fund companies available to people who have less than \$10,000 to invest. One such company is the Vanguard Group, located in Valley Forge, Pennsylvania. Vanguard has over 90 low-cost, low initial investment funds listed in the Morningstar database. The average expense for a Vanguard funds and ETFs is less than 0.3 percent. This is huge cost advantage for investors.

Many people are unaware of the fees they are paying, and this is not entirely the fault of the investor. Fund companies cleverly hide mutual fund costs. For example, mutual fund companies routinely pay for research, computers, and software through "soft dollars" and "rebates" that are